

Japan Daily Brief

Saturday, October 10, 2026

1,891 words · 8 min read

RE: ICC sanctions bind Takaichi · Four CCG vessels breach Senkakus · BOJ weighs hike · GCAP Germany · Food tax bill filed

NIKKEI 225

69,030.92

▼ -1.31%

USD/JPY

158.25

▲ +0.32%

BRENT

\$104.72

▲ +4.39%

BOJ RATE

1.25%

• TOP STORIES

ALLIANCE

Takaichi again in a bind as U.S. threatens to 'end' ICC

Sanae Takaichi stated the US sanctions on the International Criminal Court are 'incompatible with' Japan's position and expressed 'deep concern,' joining a multilateral foreign ministers' joint statement through MOFA. Japan, which hosts roughly *60,000 US service members* and depends on Washington for its security, must balance its ICC commitment — including that ICC President Tomoko Akane is Japanese — against alliance equities.

THE JAPAN TIMES

CHINA-JAPAN

中国公船 4 隻が一時領海侵入 沖縄・尖閣沖

Four Chinese government vessels temporarily entered the territorial waters off the Senkaku Islands in Okinawa Prefecture, according to Jiji Press. The incursion continues a pattern of near-daily Chinese Coast Guard presence in the contiguous zone, with periodic territorial-water intrusions that have been tracked since 2016.

JIJI PRESS

DEFENSE

Germany eyes joining GCAP fighter jet project with U.K, Italy and Japan

Speculation is mounting that Germany could join the Global Combat Air Programme alongside the UK, Italy, and Japan following the June collapse of a rival Franco-German fighter development program. GCAP is Japan's most significant defense-industrial trilateral co-development program and Germany's entry would expand the program's European base.

THE JAPAN TIMES

POLITICS-DIET

Japan food tax cut gets cabinet approval with key questions unanswered

Japan's Cabinet approved and submitted to the Diet a bill enacting the country's first reduction in the consumption tax on food, with Prime Minister Takaichi projecting a ¥36,000 per-capita benefit. Nikkei Asia

reports core questions — including interaction with the existing food and beverage reduced rate — remain unanswered, drawing opposition criticism.

NIKKEI ASIA

POLITICS-DIET

PM Takaichi faces LDP pressure for immigration cap as Vietnamese surpass Koreans as Japan's second-largest foreign group

Prime Minister **Sanae Takaichi** is weighing immigration policy under internal LDP pressure for a formal cap on foreign residents, as the number of Vietnamese in Japan surpassed Koreans to become the second-largest foreign-national group. The portfolio sits with Minister for Economic Security Kimi Onoda, who also holds the foreign residents coordination role.

NIKKEI ASIA

ALLIANCE

New Governor, Old Problem: Koja Confronts US Base-Related Crimes in Okinawa

The Diplomat examines how Okinawa Governor Koja is navigating recurring US military crime incidents, with NHK World reporting off-base areas are currently quiet under an active US military curfew following the Marine murder case. Xinhua separately published a piece exploiting the incident to frame Japan's security dependence as a liability — a reaction-source signal tracked in the adversary watch.

THE DIPLOMAT

• STAT OF THE DAY

¥36,000

Per-capita benefit projected from Japan's food consumption tax cut

Prime Minister Takaichi stated the figure was derived by dividing total central and local government revenue loss from the tax cut by Japan's population.

Tax cut to bring ¥36,000 benefit per citizen, Takaichi says — Japan Times

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, OCTOBER 10, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi publicly declared US ICC sanctions 'incompatible with Japan's position,' joined a multilateral MOFA joint statement, and the Cabinet submitted the food consumption tax cut bill to the Diet.

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Foreign Minister Toshimitsu Motegi (per reference baseline; verify from articles)*

MOFA co-signs joint foreign ministers' statement on ICC sanctions

Japan's Foreign Ministry joined a multilateral joint statement by foreign ministers on the International Criminal Court in response to US sanctions imposed on the court. The statement follows Prime Minister Takaichi's public declaration that the sanctions are 'incompatible with' Japan's position.

→ [MOFA](#) ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS

Japan protests Russia's extradition requests for ICC president and eight other court officials

Japan formally protested Russia's request that the Netherlands extradite ICC President Tomoko Akane and eight other court staff, calling the request 'regrettable.' The protest follows yesterday's tracker entry on this issue and was reiterated by Deputy Chief Cabinet Secretary Ozaki at the October 9 afternoon press conference.

→ [Mainichi](#) ↗

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ weighs second rate hike as yen carry trade unwinds; Ueda invited to speak at IMF on November 6

Reporting indicates the Bank of Japan is internally weighing a second policy rate hike as the yen carry trade continues to unwind with USD/JPY at 158.25. BOJ Governor Kazuo Ueda has been invited by the IMF to speak on November 6 at its Bangkok meetings.

→ [chosun.com](#) ↗

日本銀行 · BANK OF JAPAN

BOJ policymaker warns of price risks that could trigger rapid rate hikes

A Bank of Japan policy board member publicly warned that upside price risks remain and could necessitate more rapid rate increases than markets currently anticipate, adding to signals that the board is leaning toward further normalization.

→ [thestandard.com.hk](#) ↗

DIET SESSIONS / LDP

CDP

Constitutional Democratic Party abandons independent candidate for Fukuoka mayoral race

The CDP announced it will not field its own candidate in the Fukuoka city mayoral election and will instead allow members a free vote, reflecting continued difficulties in building local electoral coalitions against the governing LDP and Ishin.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Oct 4, 2026	63%	33.9%
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%

Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026 · 35d ago	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026 · 25d ago	61.6%	32.2%
NHK · Sep 10, 2026 · 30d ago	52.8%	30.8%

Discourse: Opposition parties escalated attacks on PM Takaichi's refusal to dismiss Agriculture Minister Yana over his budget-cut gaffe, with CDP framing the retention as LDP fiscal misuse — a pressure point that could erode the cabinet's 53% approval heading into Diet deliberations on the consumption tax cut bill.

Poll tracker: **Observing Japan approval-rating aggregator** →

• BUSINESS & ECONOMY

FINANCE · NIKKEI ASIA
Japanese firms unwind \$56 billion in cross-shareholdings, second-highest on record
 Japanese corporations unwound *\$56 billion* in cross-shareholding stakes over the most recent reporting period, the second-largest figure on record, continuing governance reform pressure from regulators and activist shareholders.

MANUFACTURING · NIKKEI ASIA
Japan machine tool order backlog hits all-time high driven by AI infrastructure demand
 Japan's machine tool sector recorded an all-time high order backlog as demand from AI data center and semiconductor fab construction accelerates globally, placing Japanese precision-machinery exports at the center of the AI capex cycle.

MACRO · NIKKEI ASIA
Japan's spending-review panel to intensify scrutiny of EV subsidies and health screening programs
 Japan's government spending-review body — modeled loosely on the US DOGE initiative — plans to step up its review, targeting electric vehicle subsidies and health check programs after its initial push found only *\$110 million* in savings, described by Nikkei Asia as 'meager.'

AUTO · NIKKEI ASIA · TESLA, HONDA, NISSAN
Japan's EV subsidies disproportionately benefit Tesla over domestic automakers Honda and Nissan
 Analysis shows Japan's current EV subsidy structure channels more support to **Tesla** than to Japanese automakers Honda and Nissan, a structural anomaly that the government spending-review panel is now examining.

TECH · NIKKEI ASIA
Global cyberattacks have leaked data on at least 320 million people since September, Nikkei research finds
 Nikkei research tallied data breaches affecting at least *320 million people* globally since September, with Japanese firms among those hit by large-scale intrusions; NHK World identified three primary hacking methods used in Japan-specific leaks as the government warns of heightened vigilance requirements.

REGIONAL PRESSURE WATCH WATCH

Normal — 20 items

CHINA
 Four Chinese Coast Guard vessels temporarily entered Senkaku territorial waters today — a territorial-water intrusion continuing a near-daily patrol pattern. Beijing's state media continued a coordinated messaging campaign

on multiple fronts: Global Times published pieces calling Japan's protocol complaint over Takaichi's title 'hollow,' and separately accused Tokyo of using AI to 'whitewash war crimes,' while the Chinese Foreign Ministry called on Japan to punish the perpetrator of a break-in at the Chinese embassy in Japan.

NORTH KOREA

South Korea conducted its first test of a domestically developed hypersonic weapon, overseen by President Lee, as South Korean and Japanese vice defense ministers meeting in Japan reaffirmed bilateral coordination against North Korea's nuclear and missile threats. No new DPRK launch was reported today.

RUSSIA

Japan formally protested Russia's extradition request targeting ICC President Tomoko Akane — a Japanese national — and eight other ICC court officials, with the Deputy Chief Cabinet Secretary calling the request 'regrettable' at the October 9 afternoon press conference. Japan also separately sought information from Russia following the death of a worker at an anti-plague institute in Irkutsk from pneumonia-like symptoms.

Senkaku / ECS: Four Chinese Coast Guard vessels briefly entered Senkaku territorial waters today, a territorial intrusion on top of the near-daily contiguous-zone patrols that have been documented since 2016.

"genuine respect lies in facing history"

Chinese expert cited by Global Times (not individually named in available article) · Chinese expert rebukes Japan's claim of 'international protocol' over Takaichi reference, saying 'genuine respect lies in facing history' — Global Times

"incompatible with Japan's position"

Prime Minister Sanae Takaichi · U.S. sanctions ICC after former judge wins Nobel Peace Prize — Japan Times

Bottom line: A Senkaku territorial-water intrusion by four CCG vessels today coincides with Beijing's sustained multi-vector messaging campaign against Tokyo — protocol slights, AI-history accusations, and embassy-incident pressure — compounding the diplomatic friction as Japan simultaneously navigates a public breach with Washington over ICC sanctions.

• U.S.-JAPAN RELATIONS

ALLIANCE · THE JAPAN TIMES

Defense Minister Koizumi launches rapid-response space transport research as US, China, Russia accelerate military space programs

Shinjiro Koizumi announced Japan will initiate a government research study on rapid-response space transport, explicitly framing the move against military space buildups by the United States, China, and Russia. The initiative extends Japan's defense buildup into the space domain, an area covered under the 2022 National Security Strategy and its 2026 review.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea-Japan vice defense ministers hold talks in Japan, reaffirm DPRK coordination

South Korean and Japanese vice defense ministers met in Japan and reaffirmed close coordination against North Korea's nuclear and missile threats, with the meeting occurring the same week South Korea conducted its first domestic hypersonic weapon test.

SOUTHEAST ASIA · MAINICHI

Japan eyes November bilateral summit with Vietnam in Tokyo on energy and security

Prime Minister **Sanae Takaichi** is considering meeting Vietnamese President To Lam in Tokyo early next month to discuss energy cooperation and security, per Kyodo, as the number of Vietnamese residents in Japan surpassed Koreans for the first time.

SOUTHEAST ASIA · NIKKEI ASIA

Vietnamese residents in Japan surpass Koreans as total foreign population continues to grow

The Vietnamese community in Japan has overtaken Koreans as the second-largest foreign-national group as Japan's overall foreign resident population grows, a demographic shift with direct implications for Tokyo's pending immigration policy review and its Southeast Asia diplomatic positioning.

• UPCOMING

Oct
11

Diet food consumption tax cut bill enters committee deliberations

The Cabinet-approved bill reducing consumption tax on food items now before the Diet is expected to move to committee stage; opposition questioning on unanswered implementation details — including interaction with existing reduced rates — is anticipated.

Nov
1

Japan-Vietnam bilateral summit under consideration in Tokyo

Prime Minister Takaichi is considering a meeting with Vietnamese President To Lam in Tokyo in early November on energy cooperation and security; no date has been formally confirmed.

Nov
6

BOJ Governor Ueda to speak at IMF meetings

BOJ Governor Kazuo Ueda has been invited by the IMF to address its meetings on November 6; his remarks will be closely watched for signals on the timing and pace of a second policy rate hike as the yen carry trade unwinds.

Nov
15

APEC summit — Japan-China bilateral margin under uncertainty

Xi Jinping has not confirmed a bilateral meeting with PM Takaichi on the APEC sidelines; Beijing has conditioned engagement on resolution of Takaichi's Taiwan-related remarks, leaving the summit margin uncertain.

Dec
1

MOD annual budget request cycle — Cabinet draft budget due

Japan's defense budget draft is expected to be finalized by Cabinet in December following MOD's late-summer request, covering the ongoing 2%-of-GDP buildup trajectory and the Three Strategic Documents review now underway.

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generated 7:04 AM ET

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